Form 1040 · U.S. Individual Income Tax Return · 2025

Prepared summary in the return's lines; not the official Form 1040. Calendar year 2025.

Names	Celeste Whitford and Brennan Whitford
SSNs	XXX-XX-4127 and XXX-XX-2093 (demonstration)
Address	1418 Alder Crest Lane, Anytown, WA 00000
Filing status	Married filing jointly; Washington residents (no state income tax)
Dependents	None
Due date	April 15, 2026; Form 4868 extends the time to file, not to pay

Income

1a	Wages from Forms W-2, box 1 (two forms)	*HANGS ties to Form 1120*	480,002.00
1z	Total wages		480,002.00
2b	Taxable interest (Schedule B)		2,140.36
3a	Qualified dividends	*HANGS 60%*	216,000.00
3b	Ordinary dividends (Schedule B)		216,000.00
9	**Total income**		**698,142.36**
10	Adjustments to income		0.00
11a	**Adjusted gross income**		**698,142.36**

Tax and Credits

11b	Adjusted gross income		698,142.36
12e	Itemized deductions (Schedule A)	*MORT-01, CHAR-01*	48,900.70
13a	Qualified business income deduction		0.00
13b	Schedule 1-A deductions		0.00
14	Add lines 12e, 13a and 13b		48,900.70
15	**Taxable income**		**649,241.66**
16	Tax (Qualified Dividends and Capital Gain Tax Worksheet)		127,622.91
17	Schedule 2, line 3 (alternative minimum tax)		0.00
18	Add lines 16 and 17		127,622.91
19	Child tax credit (no dependents)		0.00
22	Subtract line 21 from line 18		127,622.91
23	Other taxes (Schedule 2, line 21)	*Forms 8959, 8960*	10,645.10
24	**Total tax**		**138,268.01**

Payments and Refund

25a	Federal income tax withheld, Forms W-2		105,000.00
25c	Additional Medicare Tax withheld (Form 8959, line 24)		1,743.77
25d	Total withholding		106,743.77
26	2025 estimated tax payments (credited to 2025)	*EST-01*	24,000.00
33	Total payments		130,743.77
34	**Overpaid**		**0.00**
37	**Amount you owe**		**7,524.24**
38	Estimated tax penalty		0.00

Signatures: none. This draft has not been filed. Open items stay with a person: MORT-01, EST-01, CHAR-01, RETURN-01.

UNSIGNED DRAFT

Schedules A and B

Schedule A · Itemized Deductions

5a	General sales taxes (actual receipts; box checked)		4,365.80
5b	Real estate taxes		12,480.00
5c	Personal property taxes		0.00
5d	Add lines 5a through 5c		16,845.80
5e	Smaller of line 5d or the limit ($10,000.00 at this income)	*limit floor*	10,000.00
8a	Mortgage interest on Form 1098 (Pinecrest Home Loans)		12,488.20
8a	Mortgage interest, Northgate Savings Bank (no Form 1098 yet)	*MORT-01*	14,212.50
8e	Home mortgage interest, total		26,700.70
11	Gifts by cash or check (acknowledged)	*CHAR-01*	12,200.00
14	Gifts to charity, total		12,200.00
17	**Total itemized deductions**		**48,900.70**

Standard deduction for a joint return: $31,500.00. Itemizing is $17,400.70 larger. Mortgage debt: $598,400.00 refinanced June 20, 2025 with no cash out, from a 2019 loan to buy the main home; under $750,000.

Schedule B · Interest and Ordinary Dividends

1	Cobalt Harbor Bank	2,140.36
4	**Taxable interest (to line 2b)**	**2,140.36**
5	HANGS Construction Services LLC (EIN XX-XXX7890, masked)	216,000.00
6	**Ordinary dividends (to line 3b)**	**216,000.00**
7a	Foreign accounts? (organizer Q12)	No

Ties to HANGS Construction Services LLC (Form 1120)

W-2 from HANGS: the President's $395,000.00 salary (the payroll roster and Form 1125-E of the company's FY2026 return) less $1,248.00 of Section 125 premiums is box 5; less the $19,750.00 401(k) deferral too, box 1. No officer bonus.

Form 1099-DIV $216,000.00: 60% of the board's four $90,000.00 dividends paid in 2025 (2025-03-31, 2025-06-30, 2025-09-30, 2025-12-31); the company's fiscal year ends June 30, so two are on its FY2025 return and two on FY2026's Schedule M-2.

UNSIGNED DRAFT

Tax Worksheet · Schedule 2 · Forms 8959, 8960 and 6251

Qualified Dividends and Capital Gain Tax Worksheet

1	Taxable income (line 15)	649,241.66
2	Qualified dividends (line 3a)	216,000.00
5	Ordinary part (line 1 less line 4)	433,241.66
9	Taxed at 0%	0.00
17	Taxed at 15%	166,808.34
18	15% of line 17	25,021.25
22	Tax on line 5 (Tax Computation Worksheet)	92,763.33
23	Add lines 18, 21 and 22	127,622.91
24	Tax on line 1 at ordinary rates	166,329.08
25	**Tax, the smaller (to line 16)**	**127,622.91**

Tax Computation Worksheet, Section B (joint): line 5 x 32% less $45,874.00; line 1 x 35% less $60,905.50.

Schedule 2 · Additional Taxes

2	Alternative minimum tax (Form 6251)	0.00
11	Additional Medicare Tax (Form 8959)	2,355.77
12	Net investment income tax (Form 8960)	8,289.33
21	**Total other taxes (to line 23)**	**10,645.10**

Form 8959 · Additional Medicare Tax

1	Medicare wages, Forms W-2 box 5	511,752.00
5	Threshold, married filing jointly	250,000.00
7	Additional Medicare Tax, 0.9% of the excess	2,355.77
19	Medicare tax withheld, box 6	9,164.17
24	Additional Medicare Tax withheld (to line 25c)	1,743.77

Form 8960 · Net Investment Income Tax

1	Taxable interest	2,140.36
2	Ordinary dividends	216,000.00
12	Net investment income	218,140.36
13	Modified adjusted gross income	698,142.36
14	Threshold, married filing jointly	250,000.00
17	**Net investment income tax, 3.8% of the smaller of lines 12 and 15**	**8,289.33**

Form 6251 test · Form 2210 test

AMT income $659,241.66 (taxable income plus the SALT deduction); less the $137,000 exemption; 28% less $4,782 on the ordinary part and the dividends at 15% and 20%: tentative minimum tax $115,825.24, below the regular tax $127,622.91: no AMT.

Required annual payment: the smaller of 90% of the 2025 tax ($124,441.21) and 110% of the 2024 tax ($130,460.00). Withholding of $106,743.77, treated as paid evenly, and the three estimates credited to 2025 cover each installment: no penalty, no Form 2210.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Income · Line 1a · Wages

$480,002.00

Workbook: Income!B10

Draft figure · open items and review remain

Income!B10 = $480,002.00

=ROUND(B8+B9,2)

Income!B8 = $374,002.00

='E03 Forms W-2'!E9

E03 Forms W-2!E9 = $374,002.00

Income!B9 = $106,000.00

='E03 Forms W-2'!E10

E03 Forms W-2!E10 = $106,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Income · Line 2b · Taxable interest

$2,140.36

Workbook: Income!B11

Draft figure · open items and review remain

Income!B11 = $2,140.36

='E04 Forms 1099'!B16

E04 Forms 1099!B16 = $2,140.36

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Income · Line 3a · Qualified dividends

$216,000.00

Workbook: Income!B12

Draft figure · open items and review remain

Income!B12 = $216,000.00

='E04 Forms 1099'!B11

E04 Forms 1099!B11 = $216,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Income · Line 3b · Ordinary dividends

$216,000.00

Workbook: Income!B13

Draft figure · open items and review remain

Income!B13 = $216,000.00

='E04 Forms 1099'!B10

E04 Forms 1099!B10 = $216,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Income · Line 9 · Total income

$698,142.36

Workbook: Income!B14

Draft figure · open items and review remain

Income!B14 = $698,142.36

=ROUND(B10+B11+B13,2)

Income!B10 = $480,002.00

=ROUND(B8+B9,2)

Income!B8 = $374,002.00

='E03 Forms W-2'!E9

E03 Forms W-2!E9 = $374,002.00

Income!B9 = $106,000.00

='E03 Forms W-2'!E10

E03 Forms W-2!E10 = $106,000.00

Income!B11 = $2,140.36

='E04 Forms 1099'!B16

E04 Forms 1099!B16 = $2,140.36

Income!B13 = $216,000.00

='E04 Forms 1099'!B10

E04 Forms 1099!B10 = $216,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12

03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Income · Line 11a · Adjusted gross income

$698,142.36

Workbook: Income!B16

Draft figure · open items and review remain

Income!B16 = $698,142.36
=ROUND(B14-B15,2)

Income!B14 = $698,142.36
=ROUND(B10+B11+B13,2)

Income!B10 = $480,002.00
=ROUND(B8+B9,2)

Income!B8 = $374,002.00
='E03 Forms W-2'!E9

E03 Forms W-2!E9 = $374,002.00

Income!B9 = $106,000.00
='E03 Forms W-2'!E10

E03 Forms W-2!E10 = $106,000.00

Income!B11 = $2,140.36
='E04 Forms 1099'!B16

E04 Forms 1099!B16 = $2,140.36

Income!B13 = $216,000.00
='E04 Forms 1099'!B10

E04 Forms 1099!B10 = $216,000.00

Income!B15 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Tax and Credits · Line 12e · Itemized deductions

$48,900.70

Workbook: Itemized!B27

Draft figure · open items and review remain

Itemized!B27 = $48,900.70

=ROUND(MAX(B25,B26),2)

Itemized!B25 = $48,900.70

=ROUND(B16+B19+B24,2)

Itemized!B16 = $10,000.00

=ROUND(MIN(B10,B15),2)

Itemized!B10 = $16,845.80

=ROUND(B8+B9,2)

Itemized!B8 = $4,365.80

=ROUND('E07 Taxes Paid'!D10+'E07 Taxes Paid'!D11+'E07 Taxes Paid'!D12+'E07 Taxes Paid'!D13+'E07 Taxes Paid'!D14+'E07 Taxes Paid'!D15+'E07 Taxes Paid'!D16,2)

E07 Taxes Paid!D10 = $612.48

E07 Taxes Paid!D11 = $243.05

E07 Taxes Paid!D12 = $318.80

E07 Taxes Paid!D13 = $287.62

E07 Taxes Paid!D14 = $301.95

E07 Taxes Paid!D15 = $402.30

E07 Taxes Paid!D16 = $2,199.60

Itemized!B9 = $12,480.00

=ROUND('E07 Taxes Paid'!D8+'E07 Taxes Paid'!D9,2)

E07 Taxes Paid!D8 = $6,240.00

E07 Taxes Paid!D9 = $6,240.00

Itemized!B15 = $10,000.00

=ROUND(MAX(B14,B11-MAX(0,'Income'!B16-B12)*B13),2)

... 28 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12

03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

04 Deductions/2025 mortgage interest records.pdf · PDF page 1, Form 1098 from the new lender; page 2, the old lender's payoff statement

Original documents are attached to this PDF. The workbook is attached too.

04 Deductions/2025 charitable gifts.xlsx · Charitable Gifts!C14, Charitable Gifts!C11

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Tax and Credits · Line 15 · Taxable income

$649,241.66

Workbook: Tax!B13

Draft figure · open items and review remain

Tax!B13 = $649,241.66
=ROUND(MAX(0,B8-B12),2)

Tax!B8 = $698,142.36
='Income'!B16

Income!B16 = $698,142.36
=ROUND(B14-B15,2)

Income!B14 = $698,142.36
=ROUND(B10+B11+B13,2)

Income!B10 = $480,002.00
=ROUND(B8+B9,2)

Income!B8 = $374,002.00
='E03 Forms W-2'!E9

E03 Forms W-2!E9 = $374,002.00

Income!B9 = $106,000.00
='E03 Forms W-2'!E10

E03 Forms W-2!E10 = $106,000.00

Income!B11 = $2,140.36
='E04 Forms 1099'!B16

E04 Forms 1099!B16 = $2,140.36

Income!B13 = $216,000.00
='E04 Forms 1099'!B10

E04 Forms 1099!B10 = $216,000.00

Income!B15 = $0.00

... 36 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT
04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9
04 Deductions/2025 mortgage interest records.pdf · PDF page 1, Form 1098 from the new lender; page 2, the old lender's payoff statement
04 Deductions/2025 charitable gifts.xlsx · Charitable Gifts!C14, Charitable Gifts!C11
Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Tax and Credits · Line 16 · Tax

$127,622.91

Workbook: Tax!B39

Draft figure · open items and review remain

Tax!B39 = $127,622.91
=MIN(B37,B38)

Tax!B37 = $127,622.91
=ROUND(B32+B35+B36,2)

Tax!B32 = $25,021.25
=ROUND(B31*B46,2)

Tax!B31 = $166,808.34
=MIN(B26,B30)

Tax!B26 = $216,000.00
=ROUND(B24-B25,2)

Tax!B24 = $216,000.00
=MIN(B15,B18)

Tax!B15 = $649,241.66
=B13

Tax!B13 = $649,241.66
=ROUND(MAX(0,B8-B12),2)

Tax!B8 = $698,142.36
='Income'!B16

Income!B16 = $698,142.36
=ROUND(B14-B15,2)

Income!B14 = $698,142.36
=ROUND(B10+B11+B13,2)

Income!B10 = $480,002.00
=ROUND(B8+B9,2)

Income!B8 = $374,002.00
='E03 Forms W-2'!E9

... 76 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT
04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9
04 Deductions/2025 mortgage interest records.pdf · PDF page 1, Form 1098 from the new lender; page 2, the old lender's payoff statement
04 Deductions/2025 charitable gifts.xlsx · Charitable Gifts!C14, Charitable Gifts!C11

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Tax and Credits · Line 19 · Child tax credit

$0.00

Workbook: Credits and Payments!B13

Draft figure · open items and review remain

Credits and Payments!B13 = $0.00
=ROUND(MIN(B10,B11*B12),2)

Credits and Payments!B10 = $127,622.91
=ROUND(B8+B9,2)

Credits and Payments!B8 = $127,622.91
='Tax'!B39

Tax!B39 = $127,622.91
=MIN(B37,B38)

Tax!B37 = $127,622.91
=ROUND(B32+B35+B36,2)

Tax!B32 = $25,021.25
=ROUND(B31*B46,2)

Tax!B31 = $166,808.34
=MIN(B26,B30)

Tax!B26 = $216,000.00
=ROUND(B24-B25,2)

Tax!B24 = $216,000.00
=MIN(B15,B18)

Tax!B15 = $649,241.66
=B13

Tax!B13 = $649,241.66
=ROUND(MAX(0,B8-B12),2)

Tax!B8 = $698,142.36
='Income'!B16

Income!B16 = $698,142.36
=ROUND(B14-B15,2)

... 93 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT
04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9
04 Deductions/2025 mortgage interest records.pdf · PDF page 1, Form 1098 from the new lender; page 2, the old lender's payoff statement
04 Deductions/2025 charitable gifts.xlsx · Charitable Gifts!C14, Charitable Gifts!C11

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Tax and Credits · Line 22 · Tax after credits

$127,622.91

Workbook: Credits and Payments!B14

Draft figure · open items and review remain

Credits and Payments!B14 = $127,622.91

=ROUND(MAX(0,B10-B13),2)

Credits and Payments!B10 = $127,622.91

=ROUND(B8+B9,2)

Credits and Payments!B8 = $127,622.91

='Tax'!B39

Tax!B39 = $127,622.91

=MIN(B37,B38)

Tax!B37 = $127,622.91

=ROUND(B32+B35+B36,2)

Tax!B32 = $25,021.25

=ROUND(B31*B46,2)

Tax!B31 = $166,808.34

=MIN(B26,B30)

Tax!B26 = $216,000.00

=ROUND(B24-B25,2)

Tax!B24 = $216,000.00

=MIN(B15,B18)

Tax!B15 = $649,241.66

=B13

Tax!B13 = $649,241.66

=ROUND(MAX(0,B8-B12),2)

Tax!B8 = $698,142.36

='Income'!B16

Income!B16 = $698,142.36

=ROUND(B14-B15,2)

... 94 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12

03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9

04 Deductions/2025 mortgage interest records.pdf · PDF page 1, Form 1098 from the new lender; page 2, the old lender's payoff statement

04 Deductions/2025 charitable gifts.xlsx · Charitable Gifts!C14, Charitable Gifts!C11

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Tax and Credits · Line 23 · Other taxes

$10,645.10

Workbook: Credits and Payments!B15

Draft figure · open items and review remain

Credits and Payments!B15 = $10,645.10
='Other Taxes'!B32

Other Taxes!B32 = $10,645.10
=ROUND(B30+B31,2)

Other Taxes!B30 = $2,355.77
=B14

Other Taxes!B14 = $2,355.77
=ROUND(B12*B13,2)

Other Taxes!B12 = $261,752.00
=ROUND(MAX(0,B10-B11),2)

Other Taxes!B10 = $511,752.00
=ROUND(B8+B9,2)

Other Taxes!B8 = $393,752.00
='E03 Forms W-2'!I9

E03 Forms W-2!I9 = $393,752.00

Other Taxes!B9 = $118,000.00
='E03 Forms W-2'!I10

E03 Forms W-2!I10 = $118,000.00

Other Taxes!B11 = $250,000.00

Other Taxes!B13 = 0.900%

Other Taxes!B31 = $8,289.33
=B28

Other Taxes!B28 = $8,289.33
=ROUND(B26*B27,2)

... 20 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Tax and Credits · Line 24 · Total tax

$138,268.01

Workbook: Credits and Payments!B16

Draft figure · open items and review remain

Credits and Payments!B16 = $138,268.01
=ROUND(B14+B15,2)

Credits and Payments!B14 = $127,622.91
=ROUND(MAX(0,B10-B13),2)

Credits and Payments!B10 = $127,622.91
=ROUND(B8+B9,2)

Credits and Payments!B8 = $127,622.91
='Tax'!B39

Tax!B39 = $127,622.91
=MIN(B37,B38)

Tax!B37 = $127,622.91
=ROUND(B32+B35+B36,2)

Tax!B32 = $25,021.25
=ROUND(B31*B46,2)

Tax!B31 = $166,808.34
=MIN(B26,B30)

Tax!B26 = $216,000.00
=ROUND(B24-B25,2)

Tax!B24 = $216,000.00
=MIN(B15,B18)

Tax!B15 = $649,241.66
=B13

Tax!B13 = $649,241.66
=ROUND(MAX(0,B8-B12),2)

Tax!B8 = $698,142.36
='Income'!B16

... 117 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT
04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9
04 Deductions/2025 mortgage interest records.pdf · PDF page 1, Form 1098 from the new lender; page 2, the old lender's payoff statement
Original documents are attached to this PDF. The workbook is attached too.
04 Deductions/2025 charitable gifts.xlsx · Charitable Gifts!C14, Charitable Gifts!C11

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Payments · Line 25a · Withholding, Forms W-2

$105,000.00

Workbook: Credits and Payments!B17

Draft figure · open items and review remain

Credits and Payments!B17 = $105,000.00

=ROUND('E03 Forms W-2'!F9+'E03 Forms W-2'!F10,2)

E03 Forms W-2!F9 = $92,600.00

E03 Forms W-2!F10 = $12,400.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Payments · Line 26 · 2025 estimated tax payments

$24,000.00

Workbook: Credits and Payments!B18

Draft figure · open items and review remain

Credits and Payments!B18 = $24,000.00

=ROUND('E09 Estimates'!D8+'E09 Estimates'!D9+'E09 Estimates'!D10+'E02 Prior Return'!B16,2)

E09 Estimates!D8 = $8,000.00

E09 Estimates!D9 = $8,000.00

E09 Estimates!D10 = $8,000.00

E02 Prior Return!B16 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payments/2025 estimated tax payments and IRS account.xlsx · Estimated Payments!D8, Estimated Payments!D9, Estimated Payments!D10

02 Last Year/2024 Form 1040 return summary.pdf · PDF page 1, the 2024 return's key lines

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Payments · Line 33 · Total payments

$130,743.77

Workbook: Credits and Payments!B19

Draft figure · open items and review remain

Credits and Payments!B19 = $130,743.77
=ROUND(B17+B22+B18,2)

Credits and Payments!B17 = $105,000.00
=ROUND('E03 Forms W-2'!F9+'E03 Forms W-2'!F10,2)

E03 Forms W-2!F9 = $92,600.00

E03 Forms W-2!F10 = $12,400.00

Credits and Payments!B22 = $1,743.77
='Other Taxes'!B18

Other Taxes!B18 = $1,743.77
=ROUND(B15-B17,2)

Other Taxes!B15 = $9,164.17
=ROUND('E03 Forms W-2'!J9+'E03 Forms W-2'!J10,2)

E03 Forms W-2!J9 = $7,453.17

E03 Forms W-2!J10 = $1,711.00

Other Taxes!B17 = $7,420.40
=ROUND(B10*B16,2)

Other Taxes!B10 = $511,752.00
=ROUND(B8+B9,2)

Other Taxes!B8 = $393,752.00
='E03 Forms W-2'!I9

E03 Forms W-2!I9 = $393,752.00

Other Taxes!B9 = $118,000.00
='E03 Forms W-2'!I10

... 7 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
05 Payments/2025 estimated tax payments and IRS account.xlsx · Estimated Payments!D8, Estimated Payments!D9, Estimated Payments!D10
02 Last Year/2024 Form 1040 return summary.pdf · PDF page 1, the 2024 return's key lines

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Form 1040 · Payments · Line 34 · Overpaid

$0.00

Workbook: Credits and Payments!B20

Draft figure · open items and review remain

Credits and Payments!B20 = $0.00
=ROUND(MAX(0,B19-B16),2)

Credits and Payments!B19 = $130,743.77
=ROUND(B17+B22+B18,2)

Credits and Payments!B17 = $105,000.00
=ROUND('E03 Forms W-2'!F9+'E03 Forms W-2'!F10,2)

E03 Forms W-2!F9 = $92,600.00

E03 Forms W-2!F10 = $12,400.00

Credits and Payments!B22 = $1,743.77
='Other Taxes'!B18

Other Taxes!B18 = $1,743.77
=ROUND(B15-B17,2)

Other Taxes!B15 = $9,164.17
=ROUND('E03 Forms W-2'!J9+'E03 Forms W-2'!J10,2)

E03 Forms W-2!J9 = $7,453.17

E03 Forms W-2!J10 = $1,711.00

Other Taxes!B17 = $7,420.40
=ROUND(B10*B16,2)

Other Taxes!B10 = $511,752.00
=ROUND(B8+B9,2)

Other Taxes!B8 = $393,752.00
='E03 Forms W-2'!I9

E03 Forms W-2!I9 = $393,752.00

... 133 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
05 Payments/2025 estimated tax payments and IRS account.xlsx · Estimated Payments!D8, Estimated Payments!D9, Estimated Payments!D10
02 Last Year/2024 Form 1040 return summary.pdf · PDF page 1, the 2024 return's key lines
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT
04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D18, Taxes Paid!D19
Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Schedule A · Line 5a · General sales taxes

$4,365.80

Workbook: Itemized!B8

Draft figure · open items and review remain

Itemized!B8 = $4,365.80

=ROUND('E07 Taxes Paid'!D10+'E07 Taxes Paid'!D11+'E07 Taxes Paid'!D12+'E07 Taxes Paid'!D13+'E07 Taxes Paid'!D14+'E07 Taxes Paid'!D15+'E07 Taxes Paid'!D16,2)

E07 Taxes Paid!D10 = $612.48

E07 Taxes Paid!D11 = $243.05

E07 Taxes Paid!D12 = $318.80

E07 Taxes Paid!D13 = $287.62

E07 Taxes Paid!D14 = $301.95

E07 Taxes Paid!D15 = $402.30

E07 Taxes Paid!D16 = $2,199.60

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Schedule A · Line 5b · Real estate taxes

$12,480.00

Workbook: Itemized!B9

Draft figure · open items and review remain

Itemized!B9 = $12,480.00

=ROUND('E07 Taxes Paid'!D8+'E07 Taxes Paid'!D9,2)

E07 Taxes Paid!D8 = $6,240.00

E07 Taxes Paid!D9 = $6,240.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D8, Taxes Paid!D9

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Schedule A · Line 5d · State and local taxes

$16,845.80

Workbook: Itemized!B10

Draft figure · open items and review remain

Itemized!B10 = $16,845.80
=ROUND(B8+B9,2)

Itemized!B8 = $4,365.80
=ROUND('E07 Taxes Paid'!D10+'E07 Taxes Paid'!D11+'E07 Taxes Paid'!D12+'E07 Taxes Paid'!D13+'E07 Taxes Paid'!D14+'E07 Taxes Paid'!D15+'E07 Taxes Paid'!D16,2)

E07 Taxes Paid!D10 = $612.48

E07 Taxes Paid!D11 = $243.05

E07 Taxes Paid!D12 = $318.80

E07 Taxes Paid!D13 = $287.62

E07 Taxes Paid!D14 = $301.95

E07 Taxes Paid!D15 = $402.30

E07 Taxes Paid!D16 = $2,199.60

Itemized!B9 = $12,480.00
=ROUND('E07 Taxes Paid'!D8+'E07 Taxes Paid'!D9,2)

E07 Taxes Paid!D8 = $6,240.00

E07 Taxes Paid!D9 = $6,240.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Schedule A · Line 5e · After the limit

$10,000.00

Workbook: Itemized!B16

Draft figure · open items and review remain

Itemized!B16 = $10,000.00
=ROUND(MIN(B10,B15),2)

Itemized!B10 = $16,845.80
=ROUND(B8+B9,2)

Itemized!B8 = $4,365.80
=ROUND('E07 Taxes Paid'!D10+'E07 Taxes Paid'!D11+'E07 Taxes Paid'!D12+'E07 Taxes Paid'!D13+'E07 Taxes Paid'!D14+'E07 Taxes Paid'!D15+'E07 Taxes Paid'!D16,2)

E07 Taxes Paid!D10 = $612.48

E07 Taxes Paid!D11 = $243.05

E07 Taxes Paid!D12 = $318.80

E07 Taxes Paid!D13 = $287.62

E07 Taxes Paid!D14 = $301.95

E07 Taxes Paid!D15 = $402.30

E07 Taxes Paid!D16 = $2,199.60

Itemized!B9 = $12,480.00
=ROUND('E07 Taxes Paid'!D8+'E07 Taxes Paid'!D9,2)

E07 Taxes Paid!D8 = $6,240.00

E07 Taxes Paid!D9 = $6,240.00

Itemized!B15 = $10,000.00
=ROUND(MAX(B14,B11-MAX(0,'Income'!B16-B12)*B13),2)

Itemized!B14 = $10,000.00

Itemized!B11 = $40,000.00

... 14 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
04 Deductions/2025 property and sales taxes paid.xlsx · Taxes Paid!D10, Taxes Paid!D11, Taxes Paid!D12, Taxes Paid!D13, Taxes Paid!D14, Taxes Paid!D15, Taxes Paid!D16, Taxes Paid!D8, Taxes Paid!D9
03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12
03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1040 · FOLLOW THE EVIDENCE

Schedule A · Line 8e · Home mortgage interest

$26,700.70

Workbook: Itemized!B19

Draft figure · open items and review remain

Itemized!B19 = $26,700.70

=ROUND(B17+B18,2)

Itemized!B17 = $12,488.20

='E06 Mortgage'!B9

E06 Mortgage!B9 = $12,488.20

Itemized!B18 = $14,212.50

='E06 Mortgage'!B18

E06 Mortgage!B18 = $14,212.50

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Deductions/2025 mortgage interest records.pdf · PDF page 1, Form 1098 from the new lender; page 2, the old lender's payoff statement

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Schedule A · Line 11 · Gifts by cash or check

$12,200.00

Workbook: Itemized!B23

Draft figure · open items and review remain

Itemized!B23 = $12,200.00

=ROUND(B20-B22,2)

Itemized!B20 = $14,700.00

='E08 Gifts'!C14

E08 Gifts!C14 = $14,700.00

Itemized!B22 = $2,500.00

=ROUND('E08 Gifts'!C11,2)

E08 Gifts!C11 = $2,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Deductions/2025 charitable gifts.xlsx · Charitable Gifts!C14, Charitable Gifts!C11

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Schedule 2 · Line 11 · Additional Medicare Tax

$2,355.77

Workbook: Other Taxes!B14

Draft figure · open items and review remain

Other Taxes!B14 = $2,355.77
=ROUND(B12*B13,2)

Other Taxes!B12 = $261,752.00
=ROUND(MAX(0,B10-B11),2)

Other Taxes!B10 = $511,752.00
=ROUND(B8+B9,2)

Other Taxes!B8 = $393,752.00
='E03 Forms W-2'!I9

E03 Forms W-2!I9 = $393,752.00

Other Taxes!B9 = $118,000.00
='E03 Forms W-2'!I10

E03 Forms W-2!I10 = $118,000.00

Other Taxes!B11 = $250,000.00

Other Taxes!B13 = 0.900%

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1040 · FOLLOW THE EVIDENCE

Schedule 2 · Line 12 · Net investment income tax

$8,289.33

Workbook: Other Taxes!B28

Draft figure · open items and review remain

Other Taxes!B28 = $8,289.33
=ROUND(B26*B27,2)

Other Taxes!B26 = $218,140.36
=MIN(B22,B25)

Other Taxes!B22 = $218,140.36
=ROUND(B20+B21,2)

Other Taxes!B20 = $2,140.36
='Income'!B11

Income!B11 = $2,140.36
='E04 Forms 1099'!B16

E04 Forms 1099!B16 = $2,140.36

Other Taxes!B21 = $216,000.00
='Income'!B13

Income!B13 = $216,000.00
='E04 Forms 1099'!B10

E04 Forms 1099!B10 = $216,000.00

Other Taxes!B25 = $448,142.36
=ROUND(MAX(0,B23-B24),2)

Other Taxes!B23 = $698,142.36
='Income'!B16

Income!B16 = $698,142.36
=ROUND(B14-B15,2)

Income!B14 = $698,142.36
=ROUND(B10+B11+B13,2)

... 8 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Income/2025 Forms 1099-DIV and 1099-INT.pdf · PDF page 1, Form 1099-DIV; page 2, Form 1099-INT
03 Income/2025 Forms W-2.pdf · PDF pages 1 and 2, one Form W-2 each: boxes 1 to 6 and box 12

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

WHAT STILL NEEDS A PERSON

MORT-01 · $14,212.50: Northgate Savings Bank sent no 2025 Form 1098 for the loan paid off in the June 20 refinance. The draft deducts $14,212.50 of January to June interest from the payoff and monthly statements on Schedule A line 8a. A person obtains the Form 1098 (or the lender's online copy) and confirms the amount; the debt itself qualifies: $598,400.00 refinanced with no cash out, under $750,000.

EST-01 · $8,000.00: The clients' log shows four 2025 estimated payments, $32,000.00; their IRS account credits three, $24,000.00, and shows the January 15, 2026 payment (DP 2026-0115-68203) under tax year 2026. The draft claims $24,000.00 on line 26. A person asks the IRS to move it to 2025 (or the clients confirm it was meant for 2026); if moved, the $7,524.24 owed becomes a $475.76 refund. No penalty either way.

CHAR-01 · $2,500.00: The September 22, 2025 gift of $2,500.00 to Anytown Children's Hospital Foundation has no contemporaneous written acknowledgment yet, so the draft leaves it out of Schedule A line 11. With the letter in hand before filing, line 11 rises by $2,500.00 and the line 16 tax falls by $925.00 (32% on the ordinary part, and $2,500.00 more of the dividend at 15% instead of 20%).

RETURN-01 · $7,524.24: Unsigned draft. The return is due April 15, 2026; both spouses sign, and $7,524.24 is paid with it. Of the $2,355.77 Additional Medicare Tax, HANGS withheld $1,743.77; the rest comes from combining the two salaries. Raising Celeste's Form W-4 withholding avoids a balance next year. Resolve MORT-01, EST-01 and CHAR-01 first; nothing has been filed. Washington has no state income tax return.

This PDF is an unsigned draft in the return's lines. It is not the official Form 1040, and it has not been reviewed or filed.

UNSIGNED DRAFT

TAX RULE CHECKS

Official sources checked during this run. These checks inform a reviewer, change no amount and settle no judgment.

What is the 2025 standard deduction for a joint return?

Verified Online · Instructions for Form 1040 (2025) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040gi

Itemized deductions of $48,900.70 are larger than $31,500.00, so line 12e uses Schedule A.

How is the tax figured on taxable income of $100,000 or more for a joint return?

Verified Online · Instructions for Form 1040 (2025) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040gi

The ordinary part of taxable income, $433,241.66, is in the 32% row: $92,763.33. The whole $649,241.66 would be $166,329.08 in the 35% row.

At what rates are qualified dividends taxed on a 2025 joint return?

Verified Online · Instructions for Form 1040 (2025) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040gi

The $216,000.00 of HANGS dividends is all qualified. The ordinary income below it, $433,241.66, already passes $96,700, so none is at 0%; $166,808.34 is at 15%, $25,021.25, and the $49,191.66 above $600,050 of taxable income is at 20%, $9,838.33.

Is the HANGS dividend a qualified dividend?

Verified Online · Instructions for Form 1040 (2025) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040gi

Celeste Whitford has held her 60% for years; the four 2025 dividends from a domestic C corporation are qualified: line 3a $216,000.00.

How much state and local tax can a joint return deduct for 2025?

Verified Online · Instructions for Schedule A (Form 1040) (2025), Itemized Deductions · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040sca

Modified AGI $698,142.36 is $198,142.36 over $500,000; 30% of that, $59,442.71, takes the $40,000.00 limit below its $10,000.00 floor, so the limit is $10,000.00. Of the $16,845.80 of real estate and sales tax paid, $10,000.00 is deducted.

Can Washington residents deduct general sales tax, and how?

Verified Online · Instructions for Schedule A (Form 1040) (2025), Itemized Deductions · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040sca

The clients kept receipts and card statements: $4,365.80 at the general rate (no vehicle purchase). Line 5a uses actual expenses with the box checked; the optional table amount was not compared.

Is all of the mortgage interest deductible?

Verified Online · Instructions for Schedule A (Form 1040) (2025), Itemized Deductions · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040sca

The 2019 loan of $680,000.00 bought the main home; $598,400.00 was refinanced in June 2025 with no cash out. Every dollar is under $750,000, so all interest is deductible: $26,700.70.

Does the June refinance stay home acquisition debt?

Verified Online · Publication 936 (2025), Home Mortgage Interest Deduction · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/publications/p936

The new loan, $598,400.00 (Form 1098 box 2), equals the principal paid off ($598,400.00): no cash out, all acquisition debt.

UNSIGNED DRAFT

TAX RULE CHECKS, CONTINUED

What goes on line 8a when the old lender sent no Form 1098?

Verified Online · Instructions for Schedule A (Form 1040) (2025), Itemized Deductions · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/instructions/i1040sca

Pinecrest Home Loans reported $12,488.20. Northgate Savings Bank sent no Form 1098; the draft includes the $14,212.50 from its payoff and monthly statements on line 8a (MORT-01).

Stays with a person: A person obtains the Northgate Savings Bank Form 1098 (or its online copy) and confirms the $14,212.50 before filing (MORT-01).

Which charitable gifts can be deducted?

Verified Online · Instructions for Schedule A (Form 1040) (2025), Itemized Deductions · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/instructions/i1040sca

Five gifts have their acknowledgment or are under $250 ($12,200.00). The $2,500.00 to Anytown Children's Hospital Foundation has none yet and is left out (CHAR-01).

Stays with a person: A person obtains the written acknowledgment before the return is filed; with it, line 11 rises by $2,500.00 (CHAR-01).

Are the cash gifts within the AGI limit?

Verified Online · Publication 526 (2025), Charitable Contributions · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/publications/p526

Gifts of $12,200.00 are 1.7% of AGI $698,142.36: far under 60%, no carryover.

Is Schedule B required?

Verified Online · Instructions for Schedule B (Form 1040) (2025) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1040sb

Interest $2,140.36 (Cobalt Harbor Bank) and dividends $36,000.00 (HANGS) both pass $1,500: Schedule B lists both payers. No foreign accounts (organizer Q12).

Do the Whitfords owe Additional Medicare Tax?

Verified Online · Instructions for Form 8959 (2025), Additional Medicare Tax · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i8959

Medicare wages $393,752.00 (HANGS) and $118,000.00 (school district), $511,752.00 together: $261,752.00 over, $2,355.77 (Schedule 2 line 11). HANGS withheld 0.9% of her wages over $200,000, $1,743.77 (line 25c); the remaining $612.00 is paid with the return.

Do the Whitfords owe the net investment income tax?

Verified Online · Instructions for Form 8960 (2025), Net Investment Income Tax · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i8960

Net investment income $218,140.36 (interest $2,140.36, dividends $216,000.00) is smaller than MAGI over $250,000 ($448,142.36): 3.8% of $218,140.36 is $8,289.33 (Schedule 2 line 12). A dividend from a C corporation is investment income even though she runs it.

Is any alternative minimum tax due?

Verified Online · Instructions for Form 6251 (2025), Alternative Minimum Tax · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i6251

AMT income $659,241.66 (taxable income plus the $10,000.00 SALT deduction) less the $137,000 exemption is $522,241.66; the ordinary part at 28% less $4,782 and the dividends at 15% and 20% give $115,825.24, below the regular tax of $127,622.91: no AMT.

Is there an underpayment penalty?

Verified Online · Instructions for Form 2210 (2025), Underpayment of Estimated Tax by Individuals · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i2210

2024 AGI was $642,300.00, so 110% of the 2024 tax is $130,460.00; 90% of the 2025 tax is $124,441.21, the smaller. Withholding of $106,743.77 treated as paid evenly plus the three estimates credited to 2025 cover every installment: no penalty, no Form 2210.

UNSIGNED DRAFT

TAX RULE CHECKS, CONTINUED

Which estimated payments go on line 26?

Verified Online · Instructions for Form 1040 (2025) · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/instructions/i1040gi

The clients paid four installments, $32,000.00. Their IRS account credits three, $24,000.00, to 2025; the January 15, 2026 payment shows under 2026. The draft claims $24,000.00 (EST-01).

Stays with a person: A person asks the IRS to move the January 15, 2026 payment to 2025 (or the clients confirm it was meant for 2026); if moved, line 26 is $32,000.00 and the $7,524.24 owed becomes a $475.76 refund (EST-01).

Which 2025 Form 1040 lines does the draft fill?

Verified Online · Form 1040 (2025), U.S. Individual Income Tax Return · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/pub/irs-pdf/f1040.pdf

The draft fills lines 1a, 1z, 2b, 3a, 3b, 9, 10, 11a, 11b, 12e, 13a, 13b, 14 to 26, 33 and 37; Schedule 1-A has no entries: no tips, overtime or car loan interest, both spouses are under 65, and the senior deduction would phase out at this income anyway.

UNSIGNED DRAFT